Increasing Adoption of Scheduled Deliveries on zepto

Milestone 1: Understanding the Market & Problem Breakdown

A Product Management Analysis

Analyzing the grocery delivery market and strategic positioning for scheduled delivery adoption

Assignment Objectives:

- Analyze competitor landscape and scheduled delivery offerings
- Understand Zepto's positioning and operational implications
- Break down the problem using KPI trees and business outcomes

Market Landscape: Scheduled Delivery in Quick Commerce

Current Market Players & Their Approaches

Platform	Scheduled Delivery	Time Slot Options	Key Features	UX Strength
blinkit	❌	N/A	🔄 Super fast	Instant delivery focus
bigbasket	✅	2-hr, Next-day	📅 Strong slot UX	Subscriptions, bulk discount
amazonfresh	✅	Full-day slots	🛒 Easy checkout	Alexa orders, bundle pricing
Swiggy Instamart	❌	N/A	⚡ Quick interface	Instant only
JioMart	✅	Flexible day-after	💡 Basic UX	Price advantage, slot choice
zepto	🟡 Limited rollout	Morning only	👀 Not prominent	New feature, needs discovery

Key Market Insights:

- **Market Size:** Quick Commerce GMV grew from $0.10B (FY20) to $3.3B (FY24).
- **Gap Identified:** Most competitors focus purely on instant delivery or traditional scheduling.
- **Gap Identified:** Hybrid model combining 10min capability with strategic scheduled options.

Zepto's Market Position & Strategic Context

Current Positioning: The 10-Minute Leader

Zepto's Strength:

- **Speed:** Industry-leading 10 minute delivery promise
- **Technology:** Advanced dark store network and logistics
- **Brand:** Strong association with ultra-fast convenince
- **Growth:** Expotential expansion in major metros

Target Categories for Scheduled Delivery

Groceries

- Weekly planning behaviour

Fruits

- Regular consumption patterns

Dairy

- Predictable usage cycles

Household supplies

- Bulk purchase potential

Strategic Opportunity: Hybrid Delivery Model

Current: Instant Only

- **Challenge:** High operational strain during peaks
- **Cost Impact:** Premium pricing required
- **Capacity:** Limited by real-time constraints
- **Customer:** Impulse purchase mainly

Opportunity: Hybrid Model

- **Advantage:** Predictable demand planning
- **Cost Benefit:** Batched, efficient deliveries
- **Capacity:** Optimized resource utilization
- **Customer:** Planned grocery shopping

Operational Cost Implications: Instant vs Scheduled

Cost Structure Analysis

Feature	Instant Delivery	Scheduled Delivery
Delivery Personnel	High per-order cost	Batched route optimization
Routing	Inefficient, individual trips	Pre-planned efficient paths
Peak Hour Strain	3x cost increase	❌
Off-Peak Advantage	❌	Standard cost rates
Inventory	Higher safety stock needed	Predictable demand planning
Success Rate	85-90%(traffic, avaliability issue)	95-80% (planned execution)
Average Cost Per Order	₹ 45-60	❌
Target Cost Per Order	❌	₹ 25-35 (40% reduction)
Rider Utilization	❌ Low	✅ High

Strategic Value Proposition:

- **For Zepto:** Better unit economics, higher capacity utilization, reduced operational strain.
- **For Customers:** Lower prices, guaranteed avaliability, larger order convenience.
- **For Market:** Differentiation through Instant + Scheduled model.

Impact on Key Metrics

Delivery cost

- **Reduction:** 30-40%
- Through route batching

Fulfillment Success

- **Improvement:** 8-13%
- Planned inventory allocation

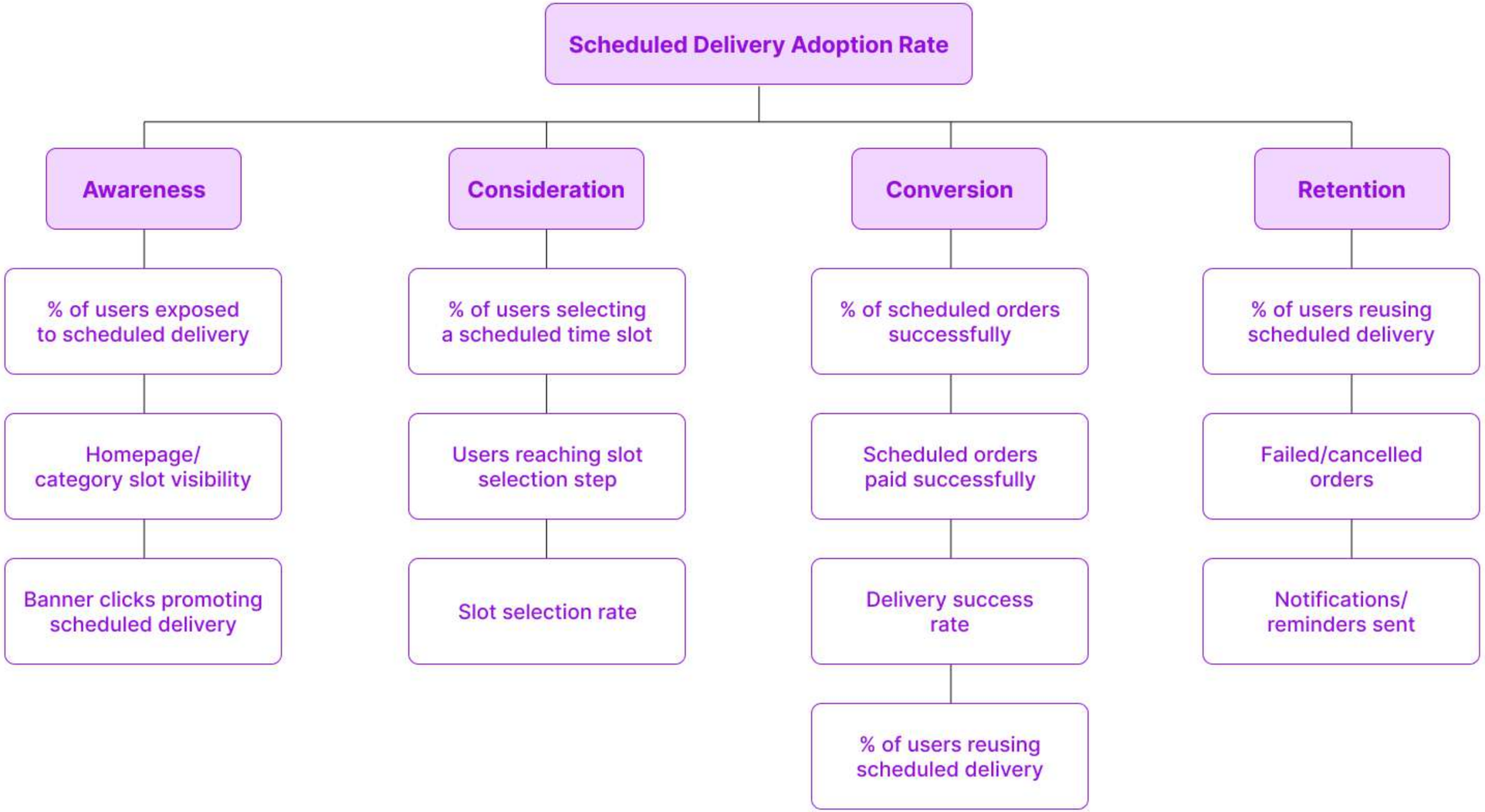
Peak Hour Relief

- **Capacity:** 25% increase
- Off-peak delivery shifting

Unit Economics

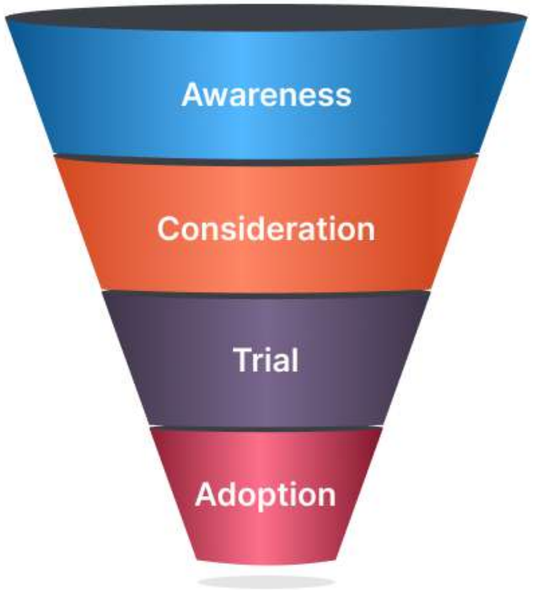
- **Margin:** +15-20%
- Improved cost structure

Problem Breakdown: KPI Tree Analysis



Scheduled Delivery Conversion Funnel

User Journey Breakdown



Stage 1: Awareness(Est. 100%)

- **Current:** Minimal awareness of scheduling option
- **Key Metric:** Feature visibility rate
- **Bottleneck:** Hidden in checkout flow

Stage 2: Consideration(Est. 30%)

- **Current:** Users see but don't understand value proposition
- **Key Metric:** Option selection rate
- **Bottleneck:** Unclear benefits communication

Stage 3: Trial(Est. 10%)

- **Current:** First-time scheduled delivery experience
- **Key Metric:** Successful completion rate
- **Bottleneck:** Slot avaliability and timing convenience

Stage 4: Adoption(Est. 5%)

- **Current:** Regular use of scheduled delivery
- **Key Metric:** Repeat scheduling rate
- **Bottleneck:** Experience quality and habit formation

Improvement Opportunities

Conversion Optimization Strategy:

- **Awareness → Consideration:** Prominent feature placement, value proposition clarity
- **Consideration → Trial:** Incentivization, slot avaliability improvement
- **Trial → Adoption:** Experience optimization, habit-building mechanics
- **Target Conversion Rate:** 25% awareness to adoption (5x improvement)

Why This Problem Matters: Business Outcomes

Strategic Business Impact

Financial Impact

- **Cost Reduction:** ₹15-25 per order
- **Margin Improvement:** 15-20%
- **Scale Economics:** Better unit economics at scale

Operational Benefits

- **Peak Capacity:** 25% increase
- **Success Rate:** 8-13% improvement
- **Resource Optimization:** Better personnel utilization

Customer Experience

- **Convenience:** Planned grocery shopping
- **Reliability:** Guaranteed delivery times
- **Value:** Potential for lower pricing

Competitive Advantage

- **Differentiation:** Hybrid instant + scheduled model
- **Market Position:** First-mover in quick commerce schedukling
- **Scalability:** Platform for future innovations

Expected Outcomes

Qualitative Benefits

- **Market Leadership:** Pioneer in hybrid delivery model in quick commerce
- **Operational Excellence:** More predictable and efficient operations
- **Customer Loyalty:** Enhanced convenience for regular grocery shoppers
- **Capacity Increase:** Base for future scheduled services (meal planning, subscriptions)

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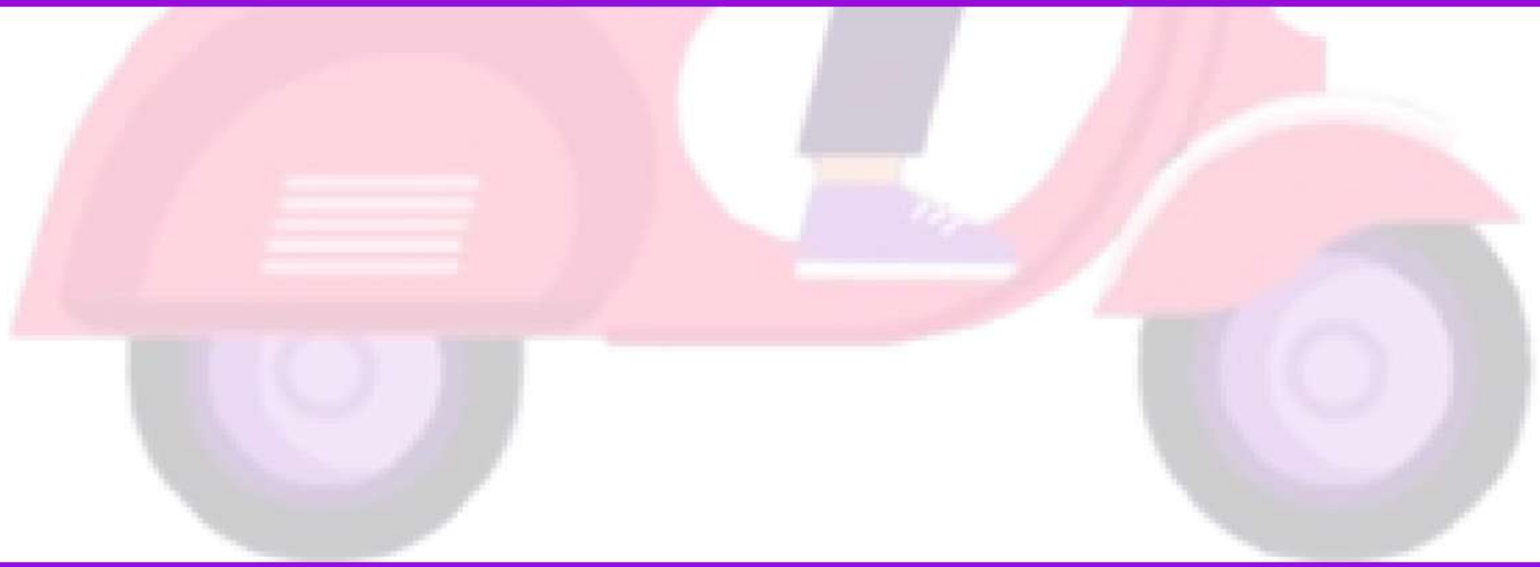
Thank You